Ch. 14 HW #2 Pt. 3

Instructions

This is not the entirety of Ch. 14 HW #2. This is just a portion of the assignment that we started in class.

Questions for Review

1. What is marginal product, and what is meant by diminishing marginal product?

2. Draw a production function that exhibits diminishing marginal product of labor. Draw the associated total-cost curve. (In both cases, be sure to label the axes.) Explain the shapes of the two curves you have drawn.

3. Define **total cost, average total cost,** and **marginal cost.** How are they related?

4. Draw the marginal-cost and average-total-cost curves for a typical firm. Explain why the curves have the shapes they do and why they intersect where they do.